

BMNR

Bitmine Immersion Technologies, Inc.

Stock Analysis Report — V2

Multi-Step Reasoning | Quality Validated | Peer Reviewed

Generated: 2026-03-16

Current Price	Market Cap	P/E Ratio	Sector
\$20.54	\$9.34B	N/A	Financial Services

Investment Rating: Hold

BMNR shows potential for growth due to its strategic investments and strong cash position. However, its lack of profitability and high losses present significant risks. Investors should consider holding until clearer signs of sustainable profitability emerge.

1. Company Overview

Bitmine Immersion Technologies, Inc. is a blockchain technology company that operates primarily in the United States. It engages in Ethereum (ETH) treasury operations and provides Bitcoin (BTC) ecosystem services, including consulting, advisory, and equipment leasing. The company also facilitates third-party power and hosting arrangements and manages BTC treasury operations. Additionally, it offers digital asset ecosystem services and sells mining equipment. Bitmine is winding down its proprietary self-mining operations and deferring new site buildouts, reflecting a strategic shift in focus. The company was formerly known as Sandy Springs Holdings Inc. and was incorporated in 2019.

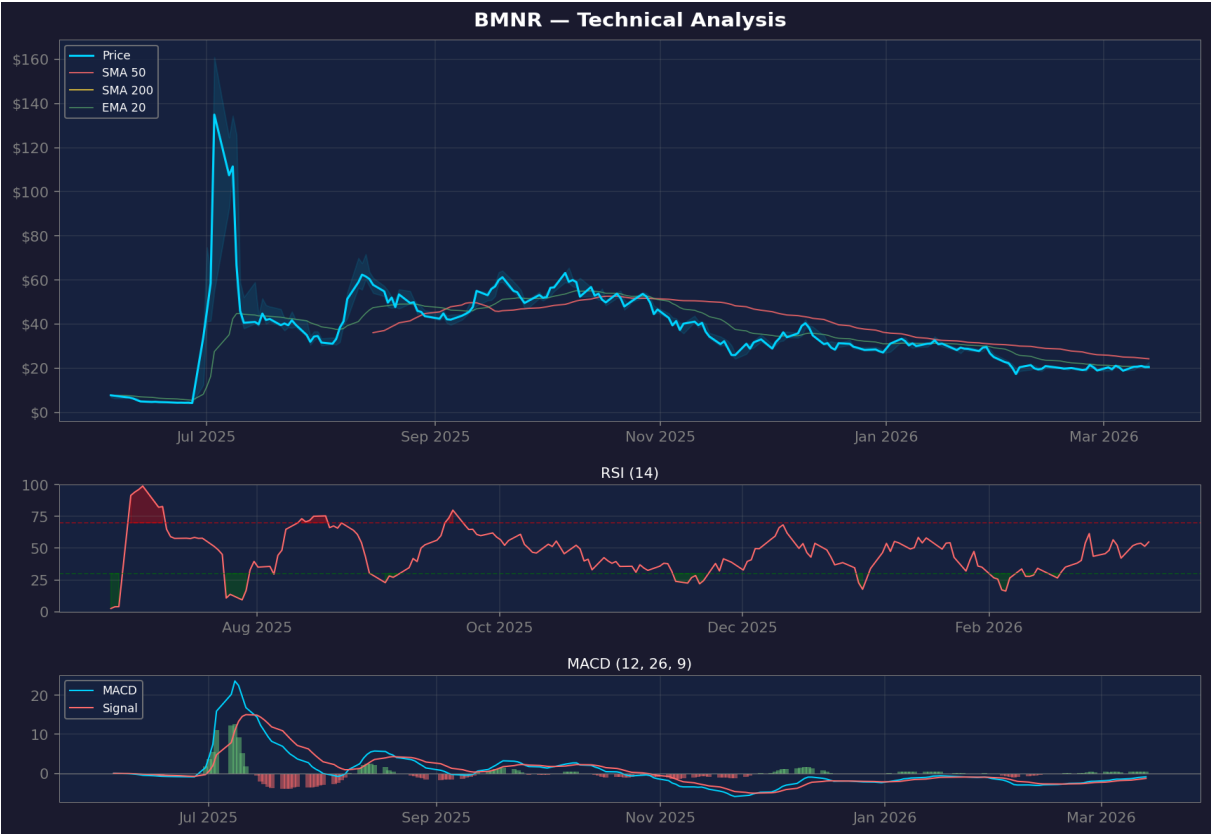
2. Fundamental Analysis

Key Financial Metrics

Metric	Value	Metric	Value
Market Cap	\$9.34B	Revenue	\$7.19M
P/E (TTM)	N/A	Net Income	-\$4.87B
P/E (Fwd)	21.851065	EBITDA	\$-234.12M
P/B Ratio	0.74587846	EPS (TTM)	\$-0.93
PEG Ratio	None	EPS (Fwd)	\$0.94
Profit Margin	0.0%	ROE	-86.3%
Op. Margin	-96.9%	ROA	-2.6%
D/E Ratio	None	Current Ratio	6.483
Div. Yield	5.0%	Rev. Growth	90.9%

Profitability is a significant concern for Bitmine Immersion Technologies, with an operating margin of -96.89% and a net income of -\$4.87 billion, indicating substantial losses. The return on equity (ROE) is -86.26%, and return on assets (ROA) is -2.55%, both reflecting poor profitability and inefficient use of assets. Despite a gross margin of 22.11%, the company's ability to convert sales into profit is severely lacking. Revenue growth has been impressive, with a 90.90% increase, reaching \$7.19 million in the most recent year. However, the company's earnings growth is not available, and historical net income figures show a trend of significant losses, except for a positive net income of \$348.58 million in 2025. Valuation metrics indicate potential undervaluation, with a forward P/E of 21.85 and a price-to-book (P/B) ratio of 0.75, suggesting the market price is below the company's book value. However, the extremely high price-to-sales (P/S) ratio of 1299.97 raises questions about the sustainability of this valuation. The balance sheet appears strong in terms of liquidity, with a current ratio of 6.483 and total cash of \$887.68 million, indicating a robust cash position and no debt. This financial stability is a positive aspect amidst the company's profitability challenges.

3. Technical Analysis



Indicator	Value	Signal
Trend	Neutral	—
SMA 50	\$24.3	Below
SMA 200	\$None	Above
RSI (14)	54.88	Neutral
MACD	-0.8697	Bullish
Support	\$24.32	—
Resistance	\$34.39	—

The current trend for BMNR is neutral, as indicated by the price sitting below the 50-day SMA of \$24.3, but above the EMA 20 of \$20.82. This suggests a lack of strong directional movement in the short term. The RSI at 54.88 is also neutral, indicating neither overbought nor oversold conditions, which aligns with the neutral trend. The MACD, however, presents a slightly bullish signal as the MACD line is above the signal line, suggesting potential upward momentum. Despite this, the MACD is still in negative territory, indicating that any bullish momentum is weak and may not be sustainable without further confirmation from price action.

4. Competitor Comparison

Bitmine Immersion Technologies (BMNR) operates within the financial services sector, with a focus on cryptocurrency-related activities. In terms of valuation, specific metrics like P/E and P/S are challenging to compare directly due to the lack of available competitor data. However, BMNR's severely negative profitability metrics and high losses indicate that it might be trading at a premium relative to its earnings potential, if any, which is a common scenario for companies in high-growth, speculative sectors. In terms of growth, BMNR has shown significant revenue growth, but its strategic shift away from self-mining and inability to generate profits suggest that its growth potential might be constrained compared to more established financial services firms or diversified crypto companies. BMNR's competitive advantage lies in its strategic investments in Ethereum and potential staking initiatives, which could position it well if the crypto market continues to mature. However, its disadvantage is the lack of profitability and the high-risk nature of its business model, which could deter risk-averse investors.

5. Sector Outlook

Period	XLF	S&P 500	vs. Market
1 Year	0.2%	18.8%	-18.6%
3 Years	65.6%	73.4%	-7.9%
5 Years	55.1%	78.6%	-23.5%

The financial services sector, as represented by the XLF ETF, has underperformed the S&P; 500 over the past year, with a return of 0.22% compared to the S&P; 500's 18.81%. Over a longer timeframe, the sector has shown robust growth, with a 65.56% return over three years and 55.09% over five years, although still lagging behind the S&P; 500. Key tailwinds for the sector in the next 1-5 years include technological advancements, increased adoption of fintech solutions, and potential regulatory clarity in the cryptocurrency space, which could benefit companies like BMNR. However, key headwinds include regulatory risks, especially concerning cryptocurrencies, market volatility, and potential economic downturns that could impact financial services broadly.

6. News Sentiment

Recent news sentiment surrounding BMNR appears mixed. The company's significant investment in Ethereum and its involvement in staking initiatives indicate a strategic push towards capitalizing on the growing crypto market, which is positive. However, the broader market context, including regulatory developments and market volatility, adds a layer of uncertainty. The news about Tom Lee's involvement in significant crypto purchases and board activities suggests proactive leadership, which could be a catalyst for future growth if the crypto market stabilizes and grows.

7. Price Forecast

Current Price: \$20.54

Timeframe	■ Bear Case	■ Base Case	■ Bull Case
1 Year	\$18.8	\$22.36	\$30.83
3 Years	\$15.89	\$25.92	\$38.1
5 Years	\$13.43	\$30.06	\$47.06

1-Year Outlook: The bull case assumes strong recovery and optimism in the market, while the base case reflects moderate growth expectations. The bear case accounts for potential setbacks in profitability.

3-Year Outlook: Over three years, the bull case anticipates sustained growth and market confidence, the base case projects steady growth, and the bear case considers prolonged challenges.

5-Year Outlook: In five years, the bull scenario expects significant market expansion, the base case maintains moderate growth, and the bear scenario reflects continued operational difficulties.

Valuation Math (EPS × P/E)

Period	Scenario	EPS Growth	Proj. EPS	P/E	Target
1Y	Bull	0.2	\$1.13	27.25x	\$30.83
1Y	Base	0.05	\$0.99	22.6x	\$22.36
1Y	Bear	-0.05	\$0.89	21.12x	\$18.8
3Y	Bull	0.2	\$1.69	22.55x	\$38.1
3Y	Base	0.05	\$1.09	23.78x	\$25.92
3Y	Bear	-0.05	\$0.76	20.9x	\$15.89
5Y	Bull	0.2	\$2.52	18.67x	\$47.06
5Y	Base	0.05	\$1.28	23.48x	\$30.06
5Y	Bear	-0.05	\$0.59	22.76x	\$13.43

8. Senior PM Review

Reviewer Confidence: Low — Given the unrealistic assumptions in the forecast and the lack of depth in certain areas, my confidence in this analysis is low.

The analysis provides a comprehensive overview of BMNR's financials, technical indicators, and sector outlook. However, it lacks depth in certain areas, such as competitor analysis and the justification of valuation metrics. The analysis is not entirely sound for making investment decisions due to unrealistic assumptions in the forecast and insufficient consideration of the company's strategic and operational risks.

Forecast Review:

The price targets seem overly optimistic, particularly given the company's current profitability challenges and high losses. The EPS growth assumptions do not align with the company's historical performance and current financial state. The assumed P/E ratios appear high for a company with such negative profitability metrics, suggesting the analyst might be too optimistic about BMNR's ability to achieve these targets. Furthermore, the forecast does not adequately account for the risks associated with the company's strategic changes and the volatile nature of the cryptocurrency market.

Weaknesses Identified:

- The analysis does not adequately address the implications of BMNR's strategic shift away from self-mining and how it affects future revenue streams.
- The valuation metrics, particularly the forward P/E and P/B ratios, are not well-explained, especially given the high price-to-sales ratio.
- The competitor comparison is weak, lacking specific data or insights into how BMNR stands against its peers in the cryptocurrency and financial services sectors.

Additional Risks (from reviewer):

- The potential volatility and regulatory risks associated with the cryptocurrency market are not fully explored.
- The analysis overlooks the risk of technological obsolescence or failure to keep up with advancements in the rapidly evolving crypto and fintech sectors.

Key Question for Investors: How does BMNR plan to achieve profitability and sustainable growth given its significant losses and strategic shift away from self-mining?

9. Risk Factors

1. Risk 1: The company's lack of profitability poses a significant risk to investor confidence and future earnings.
2. Risk 2: The strategic shift away from self-mining could impact revenue streams and operational efficiency.
3. Risk 3: Competitive pressures from more established financial services firms could hinder market share growth.
4. Risk 4: Sector growth is expected to be slower than the overall market, which may limit stock performance.
5. Risk 5: Regulatory changes in the financial services sector could introduce additional compliance costs and operational challenges.

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